

Weighted Average Cost of Capital

All figures are in PKR unless stated otherwise

Peer Comps

Name of the company	Country	Total Debt	Total Equity	Tax Rate ¹	Debt/ Equity	Debt/ Capital	Levered Beta ²	Unlevered Beta ³
Fauji Fertilizer Company Limited	Pakistan	79,894,647.0	849,081,285.5	39.00%	9.41%	8.60%	0.85	0.80
Engro Fertilizers Limited	Pakistan	73,205,930.0	317,988,193.2	39.00%	23.02%	18.71%	0.88	0.77
Fatima Fertilizer Company Limited	Pakistan	67,497,376.0	393,771,000.0	39.00%	17.14%	14.63%	0.78	0.71
Average				39.00%	16.52%	13.98%	0.84	0.76
Median				39.00%	17.14%	14.63%	0.85	0.77

Cost of Debt

Pre Tax Cost of Debt	12.25%
Tax Rate	39.00%
Post Tax Cost of Debt	7.47%

Cost of Equity

Risk Free Rate	11.05%
Market Premium	6.00%
Levered Beta ⁴	0.85
Cost of Equity	16.14%

Capital Structure

		Current	Target
Total Debt	79,894,647.0	8.60%	13.98%
Market Capitalization	849,081,285.5	91.40%	86.02%
Total Capitalization	928,975,932.5	100.00%	100.00%
Debt / Equity		9.41%	16.26%

Levered Beta

Comps Median Unlevered Beta	0.77
Target Debt / Equity	16.26%
Tax Rate	39.00%
Levered Beta	0.85

Weighted Average Cost of Capital

	Total Cost	Total Weight
Debt	7.47%	13.98%
Equity	16.14%	86.02%
Weighted Average Cost of Capital		14.93%

1 The effective tax rate taken includes Super tax

2 The levered beta is calculated for 5 years weekly historical data

3 The unlevered beta = levered beta / (1+(1-tax)*(debt/equity))

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